Chapter 8

Municipal Bonds: Local Government Securities

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» **Understanding municipal bond basics**

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Municipal bonds are securities that state governments, local governments, or U.S. territories issue. The municipality uses the money it borrows from investors to fund and support projects, such as roads, sewer systems, hospitals, and so on.

Even though you're most likely going to spend a majority of your time selling equity securities (stocks), for some unknown reason, the SIE and some of the co-requisite exams such as the Series 7, test heavily on municipal securities. If you've flipped ahead, you may have noticed that this chapter isn't one of the biggest in the book. Why is that? Well, I cover a lot of the bond basics, such as par value, maturity, types of maturities (term, serial, and balloon), and so on, in Chapter 7. Also, you can find some of the underwriting information in Chapter 5.

In this chapter, I cover the SIE exam topics that are going to be tested relating to municipal bonds. This chapter and the real exam focus mainly on the differences between GO (general obligation) bonds and revenue bonds.

General Obligation Bonds: Backing Bonds with Taxes

Most SIE municipal test questions are on general obligation (GO) bonds. The following sections help you prepare.

General characteristics of GOs

REMEMBER When you're preparing to take the SIE exam, you need to recognize and remember a few items that are specific to GO bonds:

- **They fund nonrevenue-producing facilities.** GO bonds are not self-supporting because municipalities issue them to build or support projects that don't bring in enough (or any) money to help pay off the bonds. GOs fund schools, libraries, police departments, fire stations, and so on.
- **They're backed by the full faith and credit (taxing power) of the municipality.** The taxes of the people living in the municipality back general obligation bonds.
- **They require voter approval.** Because the generous taxes of the people living in the municipality back the bonds, those same people have the right to vote on the project.

The following question tests your knowledge of GO bonds.

EXAMPLE Which of the following projects are MORE likely to be financed by general obligation bonds than revenue bonds (discussed later in this chapter)?

1. New municipal hospital
2. Public sports arena
3. New junior high school
4. New library

(A) I and II only

(B) III and IV only

(C) I and III only

(D) I, III, and IV only

The correct answer is Choice (B). Remember that GO bonds are issued to fund nonrevenue-producing projects. A new municipal hospital and a public sports arena will produce income that can back revenue bonds. However, a new junior high school and a new library need the support of taxes to pay off the bonds and, therefore, are more likely to be financed by GO bonds.

Analyzing GO bonds

The SIE exam tests your ability to analyze different types of municipal securities and help a customer make a decision that best suits her needs. You should be able to analyze a GO bond like you'd analyze other investments; however, because they're backed by taxes rather than sales of goods and services (like most corporations are), GO bonds have different components to look at when analyzing the marketability and safety of the issue.

Ascertaining marketability

Many different items can affect the marketability of municipal bonds, including the characteristics of the issuer, factors affecting the issuer's ability to pay, and municipal debt ratios. You certainly want to steer investors away from municipal bonds that aren't very marketable, unless those investors are willing to take extra risk. Here's a list of some of the other items that can affect the bonds' marketability:

- **Quality (rating):** The higher the credit rating, the safer the bond, and therefore the more marketable it is.
- **Maturity:** The shorter the maturity, the more marketable the bond issue.
- **Call features:** Callable bonds are less marketable than noncallable bonds.
- **Interest (coupon) rate:** Everything else being somewhat equal, bonds with higher coupon (interest) rates are more marketable.
- **Block size:** The larger the block size, the more marketable the bond usually is.
- **Dollar price:** All else being equal, the lower the dollar price, the more marketable the bond is.
- **Issuer's name (local or national reputation):** Bonds are more marketable when the issuer has a good reputation for paying off its bonds on time.
- **Sinking fund:** If the issuer has put money aside to pay the bonds off at maturity, the bonds are more marketable because the default risk is lower.
- **Insurance:** If the bonds are insured against default, they're considered very safe and are much more marketable. Bond insurance is considered a *credit enhancement.*

Dealing with debt

One factor that influences the safety of a GO bond is the municipality's ability to deal with debt. After you consider the issuer's name, you can look at previous issues that the municipality had and find out whether it was able to pay off the debt in a timely manner.

In addition to the municipality's name (and credit history), you want to look at its current debt (the debt the municipality owes directly) and its net overall debt (this includes the debt the issuer owes directly and overlapping debt). Overlapping debt is debt that an issuer owes for being part of a larger state and local government (in other words, a town is part of a county and in turn is part of a state).

Bringing in taxes, fees, and fines

Taxes — one of life's little certainties — are another factor that influence the safety of GO bonds. Property taxes (which local municipalities — not states — collect) and sales taxes are the driving force behind paying back investors. So, in general, the higher the property values and the larger the tax base, the safer the municipal bond issue. GOs are also backed by traffic fines, licensing fees, sales taxes, and so on.

REMEMBER Municipal GO bonds are backed by the huge taxing power of a municipality, so GO bonds usually have higher ratings and lower yields than revenue bonds. Because investors aren't taking as much risk, they don't get as much reward, or *yield*.

Dealing with Revenue Bonds: Raising Money for Utilities and Such

Unlike the tax-backed GO bonds (see the preceding sections), *revenue bonds* are issued to fund municipal facilities that'll generate enough income to support the bonds. These bonds raise money for certain utilities, toll roads, airports, hospitals, student loans, and so on.

A municipality can also issue *industrial development revenue bonds* (IDRs) to finance the construction of a facility for a corporation that moves into that municipality. Remember that even though a municipality issues IDRs, they're actually backed by lease payments made by a corporation. Because the corporation is backing the bonds, the credit rating of the bonds is derived from the credit rating of the corporation.

REMEMBER Because IDRs are backed by a corporation rather than a municipality, IDRs are generally considered the riskiest municipal bonds. Additionally, because these bonds are issued for the benefit of a corporation and not the municipality, the interest income may not be federally tax-free to investors subject to the alternative minimum tax (AMT).

General characteristics of revenue bonds

REMEMBER Before taking the SIE exam, you need to recognize and remember a couple items that are specific to revenue bonds:

- **They don't need voter approval.** Because revenue bonds fund a revenue-producing facility and therefore aren't backed by taxes, they don't require voter approval. The revenues that the facility generates should be sufficient to pay off the debt.
- **They require a feasibility study.** Prior to issuing revenue bonds, the municipality hires consultants to prepare a feasibility study. The study basically answers the question, *Does this make sense?* The study includes estimates of revenues that the facility could generate, along with any economic, operating, or engineering aspects of the project that would be of interest to the municipality.

Analyzing revenue bonds

As with any investment, you need to check out the specifics of the security. For instance, when gauging the safety of a revenue bond, you want to see whether it has a credit enhancement (insurance), which provides a certain degree of safety. You also want to look at *call features* (whether the issuer has the right to force investors to redeem their bonds early). You can assume that if a bond is callable, it has a higher yield than a noncallable bond because the investor is taking more risk (the investor doesn't know how long she can hold onto the bond).

For SIE exam purposes (and if you ever sell one or more revenue bonds), you also need to be familiar with the revenue-bond-specific items in this section. For instance, municipal revenue bonds involve covenants, wonderful little promises that protect investors by holding the issuer legally accountable. Table 8-1 shows some of the promises that municipalities make on the municipal bond indenture.

TABLE 8-1 Revenue Bond Covenants

Type of Covenant	***Promises That the Municipality Will …***
Rate covenant	Charge sufficient fees to people using the facility to be able to pay expenses and the debt service (principal and interest on the bonds)
Maintenance covenant	Adequately take care of the facility and any equipment so the facility continues to earn revenue
Insurance covenant	Adequately insure the facility

TIP If you see the word *covenant* on the SIE exam or any of the co-requisite exams, immediately think of revenue bonds.

Other factors that provide investors with a certain degree of comfort are that municipalities must provide *financial reports* and are subject to *outside audits* for all their revenue bond issues.

The Primary Market: Bringing New Municipal Bonds to Market

As you can imagine, like corporations and partnerships, municipalities need help selling their issues. To that end, they can choose their underwriter(s) directly (the way almost all corporations and DPPs do it) or through a competitive (bidding) process.

- **Negotiated offering:** This is the type of offering where the issuer chooses the underwriter(s) (a group of underwriters is called a *syndicate*) directly with no competition from other underwriters. Municipalities issuing revenue bonds or IDRs typically choose the underwriter(s) directly, although they have the option of taking bids. Like most corporations, quite often the municipality will already have a relationship with one or more underwriters that it is comfortable working with. Since revenue bonds are not backed by taxing power (like GOs), the issuers are not obligated to get the best price or coupon rate for their bond issue.
- **Competitive offering:** Because general obligation (GO) bonds are backed by the taxing power of the municipality, the municipal issuers are responsible for getting the best deal for the people living in their municipality. In order to insure the best deal, they will post an advertisement known as a *Notice of Sale* in the *Daily Bond Buyer* (the main source of information about new municipal bonds) saying that they are accepting bids on a new issue of bonds. At this

point, interested underwriters will submit a good faith deposit (to prove their sincerity) and their bids to the issuer. As you may suspect, the winner of the bid will be the underwriter that presents the lowest cost to the taxpayers backing the bond. The lowest cost could be the result of issuing the bond with a lower coupon rate and/or agreeing to pay more to purchase the bonds. Don't be too concerned about the underwriters who don't win; they'll get their good faith deposit back.

REMEMBER The Notice of Sale contains all bidding information about new municipal issues. Besides just saying that it is taking bids, the issuer also gives bidding details. It will tell potential underwriters where to submit bids, the amount of the good faith deposit, whether it is expecting bids on an NIC (net interest cost) or a TIC (true interest cost) basis, the amount of bonds to be issued, the maturity of bonds to be issued, and so on. It is the responsibility of the underwriters to determine the coupon rate (they'll determine this based on the credit history of the issuer, the amount of outstanding debt, the size of the issue, the tax base, and so on) and selling price of the issue. Remember, the underwriter(s) need to be able to sell the issue and still make a profit. So, the selling price and the coupon rate have to be attractive to investors. You should remember that the difference between the cost the issuer pays for the security and the amount it receives from investors is called the *spread.* For argument's sake, say that the underwriter(s) agrees(s) to purchase the bonds for $990 each from the issuer and then reoffer them to the public for $1,000 each; then the spread is $10 per bond. The underwriter(s)' profit lies within that spread.

MUNICIPAL ADVISORS

Municipal advisors are firms or professionals who provide professional advice on bond sales and other financial advice to state and local governments. They help the state or local government decide the timing, structure, terms, amount, coupon rate, maturity schedule, and so on regarding the borrowing of money (issuing debt securities).

Allocation of orders

Under Municipal Securities Rulemaking Board (MSRB) rules, all syndicates must establish an allocation of orders. The allocation of orders states which orders are to filled first — basically a priority provision. The allocation of orders must be supplied to customers who request it. The allocation of orders is in the syndicate agreement (agreement among underwriters) and must be signed by all syndicate members. The typical allocation of orders is as follows:

1. **Presale orders**
   These are orders entered before the date the securities were officially available for sale.
2. **Syndicate (group-net) orders**
   In this case, the syndicate member receiving the order will credit the sale to all of the syndicate members, so they all profit.
3. **Designated orders**
   For designated orders, the buyer specifies which syndicate member is to profit from the sale.
4. **Member orders**
   If there are any securities left after the presale, syndicate, and designated orders, syndicate members may purchase them for their own portfolios.

Definitions for new issues

The information contained in this section would be covered under the last section as MSRB Rule G-9. However, because the rule has to do with the underwriting of municipal securities, it certainly makes more sense to put it here.

- **Date of sale:** The date of sale is the date that the bids are submitted to the issuer for competitive offerings. For negotiated offerings, it's the date that the final contract is signed by the syndicate. In both cases the syndicate manager will send a commitment wire to the other syndicate members on the date of sale.
- **Pre-sale period:** The pre-sale period is the period preceding the date of sale.
- **Order period:** The order period is the time established by the syndicate manager that allows the syndicate members to solicit customers.
- **Underwriting period:** The underwriting period begins when the first order is submitted to the syndicate or when the securities are purchased from the issuer, whichever happens first. The underwriting period ends when the issuer delivers securities to the syndicate or the syndicate sells all the securities purchased from the issuer, whichever happens last.

Examining Other Types of Municipal Bonds on the Test

Along with standard revenue and GO bonds (see the earlier sections on these topics), you're required to know the specifics of the following bonds:

- **Special tax bonds:** These bonds are secured by one or more taxes other than ad valorem (property) taxes. The bonds may be backed by sales taxes on fuel, tobacco, alcohol, and so on.
- **Special assessment (special district) bonds:** These bonds are issued to fund the construction of sidewalks, streets, sewers, and so on. Special assessment bonds are backed by taxes only on the properties that benefit from the improvements. In other words, if people who live a few blocks away from you get all new sidewalks, they'll be taxed for it, not you.

- **Double-barreled bonds:** These bonds are basically a combination of revenue and GO bonds. Municipalities issue these bonds to fund revenue-producing facilities (toll bridges, water and sewer facilities, and so forth), but if the revenues taken in aren't enough to pay off the debt, tax revenues make up the deficiency.
- **Limited-tax general obligation bonds (LTGO):** These bonds are types of general obligation bonds for which the taxes backing the bonds are limited. Limited-tax general obligation bonds are secured by all revenues of the municipality that aren't used to back other bonds. However, the amount of property taxes municipalities can levy to back these bonds is limited.
- **Public housing authority bonds (PHAs):** These bonds are also called new housing authority (NHA) bonds and are issued by local housing authorities to build and improve low-income housing. These bonds are backed by U.S. government subsidies, and if the issuer can't pay off the debt, the U.S. government makes up any shortfalls.

  TIP Because PHAs are backed by the issuer and the U.S. government, they're considered among the safest municipal bonds.
- **Moral obligation bonds:** These bonds are issued by a municipality but backed by a pledge from the state government to pay off the debt if the municipality can't. Given this additional backing of the state, they're considered safe. Moral obligation bonds need legislative approval to be issued.

  REMEMBER Because they're called moral obligation bonds, the state has a *moral* responsibility — but not a legal obligation — to help pay off the debt if the municipality can't.

The following question tests your ability to answer questions about the safety of municipal bonds:

EXAMPLE Rank the following municipal bonds in order from safest to riskiest.

1. Revenue bonds
2. Moral obligation bonds
3. Public housing authority bonds
4. Industrial development revenue bonds

(A) I, II, III, IV

(B) III, II, I, IV

(C) II, III, IV, I

(D) II, IV, III, I

The correct answer is Choice (B). If you remember that public housing authority bonds are considered the safest of the municipal bonds because they're backed by U.S. government subsidies, this question's easy, because only one answer choice starts with III. Anyway, public housing authority bonds would be the safest; moral obligation bonds, which are also considered very safe because the state government has a moral obligation to help pay off the debt if needed, follow. Next come revenue bonds, which are backed by a revenue-producing facility. Remember that industrial development revenue bonds (IDRs) are considered the riskiest municipal bonds because although they're technically municipal bonds, they're backed only by lease payments made by a corporation.

Taxable Municipal Bonds

Although the interest on most municipal bonds is federally tax free and sometimes triple tax free (the interest is exempt from federal, state, and local taxes), you need to be aware that some bonds are taxable. These bonds are still issued and backed by a municipality but are still taxable. These bonds were created under the Economic Recovery and Reinvestment Act of 2009 and are called Build America Bonds (BABs). The idea behind the BABs is to help municipalities raise money for infrastructure projects such as tunnels, bridges, roads, and so on. These bonds have either a higher coupon rate than most other municipal bonds because the municipality receives tax credits from the federal government or are more attractive because the investors receive tax credits from the federal government. As such, these municipal bonds become more attractive to all investors, even ones with lower income tax rates. Even though the Build America Bond program expired in 2010, there are still plenty of these bonds out there, so you will be tested on them. The two types of Build America Bonds are as follows:

- **Tax Credit BABs:** Investors of this type of Build America Bonds receive tax credits equal to 35 percent of the coupon rate.
- **Direct Payment BABs:** When a municipality issues Direct Payment BABs, it receives reimbursements from the U.S. treasury equal to 35 percent of the coupon rate. As such, direct payment BABs tend to have a higher coupon rate than tax credit BABs.

Don’t Forget Municipal Notes!

When municipalities need short-term (interim) financing, municipal notes come into play. These notes bring money into the municipality until other revenues are received. Municipal notes typically have maturities of one year or less (usually three to five months). Know the different types of municipal notes for the SIE exam:

- **Tax anticipation notes (TANs):** These notes provide financing for current operations in anticipation of future taxes that the municipality will collect.

- **Revenue anticipation notes (RANs):** These notes provide financing for current operations in anticipation of future revenues that the municipality will collect.
- **Tax and revenue anticipation notes (TRANs):** These notes are a combination of TANs and RANs.
- **Grant anticipation notes (GANs):** These notes provide interim financing for the municipality while it's waiting for a grant from the U.S. government. The notes are paid off from the grant funds once received.
- **Bond anticipation notes (BANs):** These notes provide interim financing for the municipality while it's waiting for long-term bonds to be issued.
- **Construction loan notes (CLNs):** These notes provide interim financing for the construction of multifamily apartment buildings.
- **Project notes (PNs):** These notes provide interim financing for the building of subsidized housing for low-income families.
- **Tax-exempt commercial paper:** These short-term notes are usually issued by organizations such as universities with permission of the government. This debt obligation usually lasts only a few months to help the organization cover its short-term liabilities.

REMEMBER *AON* (all or none) is an order qualifier (fill an entire order at a specific price or not at all) or type of underwriting; it is not a municipal note, no matter how much it looks like one.

Municipal notes are not rated the same as municipal or corporate bonds (AAA, AA, A, and so on). Municipal notes have ratings as follows (from best to worst):

- **Moody's:** MIG 1, MIG 2, MIG 3, MIG 4
- **Standard & Poor's:** SP-1, SP-2, SP-3
- **Fitch:** F-1, F-2, F-3

Municipal Fund Securities

Municipal fund securities are similar to investment company securities (see Chapter 9) but are exempt from that definition under section 2(b) of the Investment Company Act of 1940. Municipal fund securities are established by municipal governments, municipal agencies, or educational institutions but do not represent loans to the government. Included in municipal fund securities are Section 529 plans, ABLE accounts, and Local Government Investment Pools.

Note: Rule G-45 requires dealers underwriting ABLE programs or 529 savings plans (not Local Government Investment Pools … LGIPs) to submit information such as plan descriptive information, assets, asset allocation information for each plan available, contributions, performance data, and so on semiannually and performance data annually through the Electronic Municipal Market Access (EMMA) system. MSRB's EMMA system is designed to provide market transparency to help protect market participants.

Section 529 Plans

529 plans are specialized educational savings accounts available to investors. These plans are also known as *qualified tuition plans* because they are designed to allow money to be saved for qualified expenses for higher education (colleges, postsecondary trade and vocational schools, postgraduate programs, and so on). As such, there is an owner (the one who sets up and contributes to the plan — typically a parent, but it doesn't have to be) and a beneficiary (the one who benefits from the plan — typically a child or relative of the person who set up the plan). The contribution allowance varies from state to state, and contributions are made from after-tax dollars. However, withdrawals of the amount invested plus interest received is tax free, meaning that the earnings grow on a tax-deferred basis and no tax is due if earnings are used for qualified educational expenses. Investors must receive an

official statement or offering circular prior to opening the account. You should note the following:

- Contribution levels may vary from one state to another.
- No income limits are placed on the investors of a 529 plan.
- Many investors contribute monthly, although this is not required.
- Any account balances that are unused (if, for example, the beneficiary decides not to go to college or goes to a cheaper local college) can be transferred to another related beneficiary.
- The assets in the account always remain under control of the owner (donor) even after the beneficiary becomes of legal age (18 in most states).
- In some cases, plans can be set up as *prepaid tuition plans* (allowing investors to prepay college at a locked-in rate) or as a college savings plan, which allows owners to invest as they see fit (aggressively, moderately, or conservatively).

ABLE accounts

ABLE (Achieving a Better Life Experience) accounts are designed for individuals with provable disabilities and their families. Because of the extra needs and expenses (educational, housing, transportation, health, assistive technology, legal fees, and so on) incurred in taking care of individuals with disabilities, ABLE accounts allow people to invest after-tax dollars into an ABLE account. Any earnings or distributions are tax-free as long as they are used to pay for qualified disability expenses for the beneficiary.

ABLE accounts may be opened by the eligible individual, a parent or guardian, or a person granted power of attorney on behalf of the individual with the disability. However, once the account is opened, anyone can contribute. As with college savings plans (see the preceding section), the investments may be conservative, moderate, or aggressive. Many states have annual contribution caps and maximum account balances. ABLE accounts may be opened for the disabled person even if he or she is receiving other benefits such as social security disability, Medicaid, private insurance, and so on. In order to be eligible, the onset of the disability must have been discovered before the individual reached age 26.

Local Government Investment Pools

Local government investment pools (LGIPs) are established by states to provide other government entities (cities, counties, school districts, and so on) with a short-term investment vehicle for investing their funds. Since these are set up by state governments for state entities, LGIPs are exempt from SEC registration. As such, there is no prospectus requirement, but they do have disclosure documents to cover investment policies, operating procedures, and so on. Although they aren't money market funds, they are similar in the fact that many LGIPs operate similar to one. Like money market funds, the net asset value (NAV) is typically set at $1 and normally the money is invested safely, although it doesn't have to be. LGIPs may be sold directly to municipalities or through municipal advisors hired by the municipal issuers.

Understanding the Taxes on Municipal Bonds

Municipal bonds typically have lower yields than most other bonds. You may think that because U.S. government securities (T-bills, T-notes, T-bonds, and so on) are the safest of all securities, they should have the lowest yields. Not so, because municipal bonds have a tax advantage that U.S. government bonds don't have: The interest received on municipal bonds, with a few exceptions (see the earlier section "Taxable Municipal Bonds") is federally tax-free (the interest on most U.S. government securities is state tax free).

Comparing municipal and corporate bonds equally

The *taxable equivalent yield* (TEY) tells you what the interest rate of a municipal bond would be if it weren't federally tax-free. You need the following formula to compare municipal bonds and corporate bonds equally:

$$\text{taxable equivalent yield (TEY)} = \frac{\text{municipal yield}}{100\% - \text{investor's tax bracket}}$$

REMEMBER Because the investor's tax bracket comes into play with municipal bonds, municipal bonds are better suited for investors in higher tax brackets.

The following question tests your ability to answer a TEY question.

EXAMPLE Mrs. Stevenson is an investor who is in the 30-percent tax bracket. Which of the following securities would provide Mrs. Stevenson with the BEST after-tax yield?

(A) 5 percent GO bond

(B) 6 percent T-bond

(C) 7 percent equipment trust bond

(D) 7 percent mortgage bond

The right answer is Choice (A). If you were to look at this question straight up without considering any tax advantages, the answer would be either (C) or (D). However, you have to remember that the investor has to pay federal taxes on the interest received from the T-bond, equipment trust bond, and mortgage bond but doesn't have to pay federal taxes on the interest received from the GO municipal bond. So you need to set up the TEY equation to be able to compare all the bonds equally:

$$\text{taxable equivalent yield (TEY)} = \frac{\text{municipal yield}}{100\% - \text{ investor's tax bracket}} = \frac{5\%}{100\% - 30\%} = \frac{5\%}{70\%} = 7.14\%$$

Looking into the SIE examiners' heads, you have to ask yourself, "Why would they be asking me this question?" Well, because they want to make sure that you know that the interest received on municipal bonds is federally tax-free. Therefore, if you somehow forget the formula, you're still likely to be right if you pick a municipal bond as the answer when you get a question like the preceding one.

Note: Although this situation is less likely, the SIE may ask you to determine the *municipal equivalent yield* (MEY), which is the yield on a taxable bond after paying taxes. Once you have that yield, you can compare it to a municipal bond to help determine the best investment for one of your customers. The formula for the municipal equivalent yield is as follows:

$$\text{MEY} = \text{municipal yield} \times (100\% - \text{investor's tax bracket})$$

Scot-free! Taking a look at triple tax-free municipal bonds

Bonds that U.S. territories (and federal districts) issue are triple tax-free (the interest is not taxed on the federal, state, or local level). These places include

- Puerto Rico
- Guam
- U.S. Virgin Islands
- American Samoa
- Washington, D.C.

Additionally, in most cases (there are a few exceptions), if you buy a municipal bond issued within your own state, the interest will be triple tax-free.

TIP Unless you see the U.S. territories or Washington, D.C., in a municipal bond question, don't assume that the bonds are triple tax-free. Even if the question states that the investor buys a municipal bond issued within her own state, don't assume that it's triple tax-free unless the question specifically states that it is.

REMEMBER The tax advantage of municipal bonds applies only to interest received. If investors sell municipal bonds for more than their cost basis, the investors have to pay taxes on the capital gains.

Following Municipal Bond Rules

Yes, unfortunately, the SIE tests you on rules relating to municipal bonds. Rules are a part of life and a part of the SIE exam. This section covers just a few rules that are specific to municipal securities, but if you're itching for more regulations, don't worry — you can see plenty more rules in my favorite (and I use that term loosely) chapter: Chapter 16.

Confirmations

All confirmations of trades must be sent or given to customers at or before the completion of the transaction (settlement date). Municipal securities settle the regular way (two business days after the trade date — T+2). The following items are included on the confirmation:

- The broker-dealer's name, address, and phone number
- The capacity of the trade (whether the firm acted as a broker or dealer)

- The dollar amount of the commission (if the firm's acting as a broker)
- The customer's name
- Any bond particulars, such as the issuer's name, interest rate, maturity, call features (if any), and so on
- The trade date, time of execution, and the settlement date
- Committee on Uniform Securities Identification Procedures (CUSIP) identification number (if there is one)
- Bond yield and dollar price
- Any accrued interest
- The registration form (registered as to principal only, book entry, or fully registered)
- Whether the bonds have been called or pre-refunded
- Any unusual facts about the security

Each broker, dealer, or municipal securities dealer must report to the MSRB all transactions in municipal securities through the Real-Time Reporting System (RTRS). The RTRS will make public reports on market activity and prices. In addition, the MSRB will assess transaction fees to make sure that they are in line with MSRB rules. The information of a transaction must be reported promptly. Exempt from the reporting process are transactions in securities without a CUSIP number, transactions in municipal fund securities, and inter-dealer transactions.

Advertising and record keeping

A brokerage firm has to keep all advertising for a minimum of three years, and these ads must be easily accessible (not in a bus storage locker) for at least two years.

The MSRB requires a principal (manager) to approve all advertising material of the firm prior to its first use. The principal must ensure that the advertising is accurate and true.

REMEMBER Advertising includes any material designed for use in the public media. Advertising includes offering circulars, market and form letters, summaries of official statements, and so on. However, preliminary and final official statements are not considered advertising because they're prepared by the issuer; therefore, they don't require approval from a principal.

Gifts

According to MSRB rules, municipal securities dealers can't give gifts valued at more than $100 per year to customers. (The board kind of has this thing against bribery.) Business expenses are exempt from the rule.

TIP If you get a question on the SIE exam relating to what qualifies as a gift, remember that business expenses are exempt. Business expenses can be airline tickets (for the customer to meet with you, not for the customer to vacation in the Bahamas), hotel expenses (for the customer's lodging while she's meeting with you), business meals, and so on. You should note that FINRA gift rules fall directly in line with MSRB's gift rules.

Commissions

Although no particular guideline states what percentage broker-dealers can charge (as with the 5 percent markup policy — see Chapter 16), all commissions, markups, and markdowns must be fair and reasonable, and policies can't discriminate among customers. The items that firms should consider follow:

- The market value of the securities at the time of the trade.

- The total dollar amount of the transaction. Although you're going to charge more money for a larger transaction, the percentage charged is usually lower.
- The difficulty of the trade. If you had to jump through hoops to make sure the trade was completed, you're entitled to charge more.
- The fact that you and the firm that you work for are entitled to make a profit (which is, of course, the reason you got involved in the business to begin with).

You can't take race, ethnicity, religion, gender, sexual orientation, disability, age, funny accents, or how much you like (or dislike) the client into account.

Gathering Municipal Bond Info

As with other investments, you need to be able to locate information if you're going to sell municipal securities to investors. You may find that information about municipal bonds is not as readily available as it is for most other securities. Some municipal bonds are relatively *thin* issues (not many are sold or traded) or may be of interest only to investors in a particular geographic location. This section reviews some of the information that you have to know to ace the SIE exam.

The bond resolution (indenture)

A *bond resolution* (indenture) provides investors with contract terms including the coupon rate, years until maturity, collateral backing the bond (if any), and so on. Although not required by law, almost every municipal bond comes with a bond indenture, which is printed on the face of most municipal bond certificates. It makes the bonds more marketable because the indenture serves as a contract between the municipality and a trustee who's appointed to protect the investors' rights. Included in the indenture are the flow of funds (see "Dealing with Revenue Bonds: Raising Money for Utilities and Such," earlier in this chapter) and any assets that may be backing the issue.

Legal opinion

Printed on the face of municipal bond certificates, the legal opinion is prepared and signed by a *municipal bond counsel* (attorney). The purpose of the legal opinion is to verify that the issue is legally binding on the issuer and conforms to tax laws. Additionally, the legal opinion may state that interest received from the bonds is tax exempt.

REMEMBER If a bond is stamped *ex-legal*, it does not contain a legal opinion.

Official statement

Municipal bonds don't have a prospectus; instead, municipalities usually provide an official statement. As with prospectuses, official statements come in *preliminary* and *final versions*. The preliminary version of the statement doesn't include an offering price or coupon rate. The *official statement* is the document that the issuer prepares; it states what the funds will be used for, provides information about the municipality, and details how the funds will be repaid. The official statement also includes

- The offering terms
- The underwriting spread (basically, who gets what)
- A description of the bonds
- A description of the issuer
- The offering price
- The coupon rate
- The feasibility statement (for revenue bonds — how much sense the project makes)
- The legal opinion

Any dealer selling municipal securities to a customer during the issue's underwriting period (see "The Primary Market: Bringing New Municipal Bonds to Market" earlier in this chapter) must deliver a final official statement, if there is one, to a customer by the settlement of the transaction. If a dealer is selling a new issue to another dealer, it must deliver the official statement to the purchasing dealer within one business day.

"G" That's a Whole Lot of Rules

Yes, there are a lot of "G" rules. There are even more that you'll have to study when you take some of the co-requisite exams such as the Series 7. Some of these rules would be taller than you if printed out, even if you're tall enough to give Shaquille O'Neal a run for his money.

TIP The following list isn't as huge as it could be because many of the rules are already covered throughout this book. However, you're not expected to know the minute details of each rule, just the main idea. Fortunately, many of them just make sense. Also, don't worry about the rule numbers; pay more attention to the rule.

- **Rule G-2** (standards of professional qualifications): Prior to effecting any transaction in, or inducing or attempting to induce the purchase or sale of any municipal security, the dealer and every natural person associated with that dealer must be qualified in accordance with MSRB rules.
- **Rule G-3** (professional qualification requirements): Broker-dealers that conduct a business in general securities must have at least one associated person qualified as a municipal securities principal to oversee and supervise the broker-dealers' municipal securities business.
- **Rule G-7** (information concerning associated persons): Associated persons (municipal securities sales principal, municipal securities

principal, general securities principal engaging in municipal securities business, municipal securities representative, limited representatives, and so on) must provide their employer with a form U-4 or MSD-4 for bank dealers. A U-4 form is an application form sent into the Central Registration Deposit (CRD) along with the applicant's fingerprints. Included in the form are the applicant's address, work history, arrest record (if any — hopefully not), education, previous addresses, and so on. A copy of the form must be kept by the employer. In addition, the employer is responsible for calling previous employers to find out if the information in the form is accurate. In the event that the applicant's information changes any time during employ, the employer is responsible for updating the information.

- **Rules G-8 and G-9** (books and records requirements): All brokers, dealers, and municipal securities dealers must keep records regarding municipal securities business. Among the many items they have to keep are the following:
  - Records of original entry (blotters): Itemized daily records of all purchases and sales of municipal securities
  - Account records: Account records for each customer account
  - Securities records: Separate records showing all municipal securities positions
  - Subsidiary records: Records of municipal securities in transfer, municipal securities borrowed or loaned, municipal securities transactions not completed by the settlement date, and so on
  - Put options and repurchase agreements
  - Records for agency transactions
  - Records concerning primary offerings
  - Copies of confirmations (for more on confirmations, see Chapter 16)
  - Customer account information
  - Customer complaints
  - Records concerning political contributions

TIP You aren't expected to remember the entire preceding list. Just get a general feeling for what's required. It looks like the MSRB wants the broker-dealer or municipal securities dealer to maintain records of just about everything.

- **Rule G-9** (preservation of records): MSRB's record-keeping requirements are very similar to but not exactly the same as FINRA's requirements. Most records have to be kept either four or six years. To keep you from pulling your hair out (this coming from a bald man), look at the record-keeping requirements in Chapter 16, where I note how the MSRB rules and FINRA rules are different.
- **Rule G-10** (delivery of investment brochure): Broker-dealers and municipal securities dealers must send yearly written statements (which may be electronic) to each customer stating that they are registered with the SEC and MSRB. The statement must also include the web address for the MSRB and a statement of how to receive an investment brochure on the website describing customer protections and how to file a complaint to the proper authority. The same information holds true of municipal advisors — they must also send yearly statements with the same information plus provide information on how to get the municipal advisory client brochure on the MSRB website.
- **Rule G-13** (quotations): According to MSRB rules, all quotations for municipal securities published or distributed by any broker-dealer, municipal securities dealer, or person associated with a broker-dealer or municipal securities dealer must be bona fide (genuine).
- **Rule G-17** (conduct of municipal securities and municipal advisory activities): Municipal securities broker-dealers, municipal securities dealers, municipal advisors, agents, and so on shall deal fairly with all persons and not engage in dishonest, deceptive, or unfair practices.
- **Rule G-18** (best execution): When entering into a municipal securities transaction with a customer or customer of another broker,

dealer, or municipal securities dealer, a broker must use reasonable diligence to attempt to get the best price for the security (lowest buying price or highest selling price for the customer). This rule is similar to Rule G-30, but G-30 includes markups, markdowns, and commission.

- **Rule G-21** (advertising): Advertisements by municipal securities dealers, brokers, and dealers can’t contain false or misleading statements. Advertisements include published material used in electronic or other public media, promotional literature (written or electronic) made available to customers or the public, circulars, market letters, seminar text, press releases, and so on. However, preliminary official statements, official statements, offering circulars, and so on are not considered advertisements.
- **Rule G-25** (improper use of assets): Brokers, dealers, and municipal securities dealers shall not make improper use of municipal securities or funds held on behalf of another person. In addition, no broker, dealer, or municipal securities dealer can make a guarantee against loss. And, they may not share directly or indirectly in the profit or losses in a customer’s account. However, an associated person may set up a partnership or joint account with a customer and share in the profits or losses based on the contribution made into the account. In that case, a proportionate sharing agreement should be in place.
- **Rule G-30** (pricing and commissions): If buying or selling municipal securities for a customer on a principal basis (for or from the dealer’s inventory), the aggregate price including the markdown or markup must be *fair and reasonable.* If buying or selling municipal securities on an agency basis for a customer, the broker-dealer is responsible for making a reasonable effort to obtain the best price for the customer and the commission charged must be *fair and reasonable* in relation to prevailing market conditions.
- **Rule G-34** (CUSIP numbers, new issue and market information requirements): For new issues of municipal bonds (whether negotiated or competitive offerings), the managing underwriters must apply to the Committee on Uniform Security Identification

Procedures (CUSIP) to receive identification numbers for the bonds for each maturity, if more than one. For negotiated offerings where the underwriter(s) is/are chosen directly, the managing underwriter must apply prior to the pricing of the new municipal issue. For competitive offerings, the managing underwriter must apply after winning the bid. In the event that the municipal issuer hired an advisor, the municipal advisor must apply no later than the business day after the Notice of Sale is published.

- **Rule G-37** (political contributions and prohibitions on municipal securities business): This rule prohibits brokers, dealers, municipal securities dealers, and municipal advisors from engaging in municipal advisory business with municipal entities if they've made political contributions to officials of such municipal entities. In the event that they did make political contributions, they must be disclosed to the public. In addition, if a political contribution was made as described in the first sentence, they are not allowed to engage in municipal securities business with that municipal entity for a period of two years after the contribution. However, municipal finance professionals (MFPs) are allowed to make political contributions of up to $250 per election to a candidate the MFP is entitled to vote for.
- **Rule G-47** (time of trade disclosure): Brokers, dealers, and municipal securities may not trade a municipal security (buy from or sell to) with a customer (whether solicited or unsolicited) without providing all material information about the trade. The information must be provided before or at the time of sale and can be disclosed orally or in writing. If you're dying to know, you can view a complete list of what the MSRB considers material information at `www.msrb.org/Rules-and-Interpretations/MSRB-Rules/General/Rule-G-47.aspx` . However, it shouldn't be necessary to commit them to memory.